

3Q 2010 Market Commentary

September 2010

Market Timing Versus Long-Term Investing

In the third quarter of 2010, Horizon's strategies, as well as U.S. equity markets, were up by 10 percent or more. At a time when buy-and-hold investing has amassed a sizeable body of critics, the strategy produced positive results in the third quarter. As we discussed in the commentary for the second quarter, short-term oriented market timers who happen to be out of the market during stock market rallies, even if they are fully invested 99.2% of the time, can miss a significant portion of the gains in a given year.¹ For example, those who were not invested during the month of September – or, rather, for five particular days in September, the rest, on balance, being negative – missed a gain of approximately 10 percent, which could very well be equivalent to a full year's return. In fact, from 1926 through 2009, the average annual rate of return on the S&P 500 amounted to 11.84 percent, not much more than the returns experienced by many equity benchmarks during the month of September.

While the buy-and-hold approach has generally not done well over the past decade, the inflation-adjusted returns experienced during this period are the worst in recorded history and can hardly be considered indicative of the strategy's future prospects.² However, for buy-and-hold to be successful, patience and discipline are required. At Horizon we are content to hold securities for extended periods of time as long as economic value is being created and our investment theses remain intact. More importantly, we do not panic if the trading price declines in the interim. The primary advantage of long-term investing is that it eliminates, or at least attempts to minimize, the degree to which short-term, random fluctuations impact an investment's total rate of return. Consequently, we believe long-term, qualitative investing is bound to do much better than short-term speculating.

Portfolio Activity: Information-Advantaged Companies

During the course of this year, we have significantly increased our portfolio exposure to what we refer to as "information-advantaged" companies. In the past, we have referred to these as astute capital allocators, but our recent research has refined our thinking, leading to a slightly wider group of companies with more than simply good investment skills. Seemingly prescient investors such as Warren Buffet, Eddie Lampert, John Malone, and Carl Icahn, among others, often have access to information about contemplated and pending corporate actions, private market clearing prices, as well as incipient regulatory changes long before the general investing public. They even have, on occasion, the capacity to influence regulatory policy in their favor. We have observed that such an informational advantage is a critical element in the discovery of attractive investment opportunities.

Additionally, companies in this category generally tend to be characterized by long, successful investment records and are still under the control of the founder, the family of the founder, or a significant owner-manager. The owner-manager structure is one of the critical differentiating elements of these companies, since decisions are made by a principal (i.e., owner), as opposed to an agent (i.e., hired manager). While the typical hired CEO cannot ignore career issues, including the perceived need to manage the short-term, reactive expectations of shareholders and

¹ Horizon Second Quarter Shareholder Letter, pages 8-9

² The worst 10-year period during the Great Depression, 1929-1938 experienced inflation adjusted returns of 9.9%, compared to a negative 22.0% during the worst 10-year period in the 1970-1980s and -30.2% for 2000-2009.

analysts, as well as arbitrarily set benchmarks such as market share or revenue growth, owner-manager judgments tend to be return-on-capital based and longer term in nature. They also tend to demonstrate a heightened awareness of business and balance sheet risk. Moreover, while many companies appear reluctant to invest in their businesses because of the heightened degree of economic uncertainty, we have observed that companies run by their founders or significant owner-managers are eagerly taking advantage of opportunities that have arisen as a consequence of the prevailing uncertainty.

The differentiation between principal and agent decision making is also reflected in the choice of capital structure. Having accumulated a critical mass of permanent capital, the information-advantaged companies tend to be managed with a very different mindset than that of the typical company. The return-on-capital thought process not only affects decisions about the use of capital structure to enhance returns and limit risk, but also extends to strategic flexibility—that is, whether to remain in a given business or to allocate capital elsewhere.

Advanced Micro Devices should serve as an illustrative example. As talented as that company's management may be, it is difficult to imagine the CEO suggesting to the Board of Directors that the company sell its core business at an advantageous multiple in order to redeploy capital elsewhere at superior rates of return. While declining prospective returns in the business of selling microprocessors should logically serve as a catalyst for considering other strategic opportunities, most managers and boards of directors are simply not equipped to handle the complete re-orientation of a business. An information-advantaged owner-manager, however, may very well have little compunction at all about doing so. This is not a factor to be underestimated, since the overwhelming majority of businesses eventually suffer from technological, competitive or other forms of obsolescence risk. More importantly, very few are structured to avoid these risks. Information-advantaged companies, on the other hand, are frequently well-diversified, with operations in many industries and can more easily buy and sell such assets to improve cash flow. This also results in greater longevity of such companies.

We have found that information-advantaged companies that exhibit superior performance over extended periods of time generally tend to deploy capital in a countercyclical fashion.

³ Using Berkshire Hathaway as an example, many have observed that Berkshire's investments in publicly traded equities over time have been stellar, well above the equity market indices.⁴ What if one could somehow have replicated those investments with precision, perhaps in the form of a long-only equity strategy, over the past 34 years? Is it not intriguing, then, that the Berkshire Hathaway book value, a figure reported not only after payment of income taxes and realized capital gains taxes, but also after an allowance for gains taxes on the securities it has not yet sold, has performed yet better? Better to the degree that however well one would have done with the purloined stock picks, one's wealth would have been some 170% greater if one simply held the shares themselves.⁵ A major reason for this is the company's capital structure, which makes intelligent use of leverage, primarily in the form of the insurance premium float. This has been

³ Based on a universe of 30 qualifying companies that we have researched and measured over the past 15 years.

⁴ Based on the company's portfolio composition, as stated in its 10-K filings and annual reports.

⁵ From 1993-2009, its book value per share grew 10-fold (15.6% per year on average), according to its SEC filings.

the deciding difference—that is, the opportunistic allocation of capital combined with the intelligent use of capital structure.

A transaction-specific example of the advantageous use of a company's capital structure is the recent purchase of Burlington Northern, Berkshire's largest acquisition to date. Warren Buffet was willing to acquire the railroad during a severe recession, at a multiple based on historically low earnings. Ultimately, upon a recovery of normal business volumes, Burlington Northern will realize perhaps a 13 percent ROE, a good but not superlative investment.⁶ However, because the purchase was partially funded by a Berkshire bond issuance with a pre-tax average cost of capital of less than 3 percent and an after-tax cost of capital of less than 2 percent, acquiring what should ultimately be a 13 percent ROE with such cheap capital *will* make for a potentially superlative investment.

There has always been an element in our equity strategies that could be described as investing in information-advantaged companies, such as our positions in Berkshire Hathaway, the most recognized company of non-conventional business structure and practice; Leucadia National, the only company with which Berkshire has engaged in joint venture activity; and Brookfield Asset Management, a diversified Canadian investment company. Our continued study of these companies has led us to view them as a distinct classification of investment, with very different and superior properties than the average common stock.

Consider the following juxtaposition, presented in three parts. First, in terms of book value per share progression, along with cumulative dividends, these companies have produced double-digit annualized returns in perhaps the worst environment of the past century (using 5-year, 10-year and 15-year figures), far exceeding any standard of broad stock market performance. By this objective measure, they are among the best performing and managed companies in the world.

Second, we look at the share price performance of these companies during the stock market decline of 2008 and early 2009. Even as a partial group, they represent an extraordinarily diversified set of actively managed interests, embodied in strong balance sheets, protected by the oversight of an involved owner. Yet, because they simply do not fit the modern analyst's or asset allocator's toolbox of industry classification, earnings predictability, index relevance or trading liquidity, their shares were liquidated more readily than those of other companies, such that outstandingly superior financial investments became underperforming stock investments. Quite startling.

Third, with the combination of share price decline and continued financial growth, these companies now trade at the most becoming, sometimes extraordinary, discounts. For instance, Henderson Land has recently traded at a 25% discount to book value, as much as a 50% discount by an alternative measure, and Loews sells at a 30% discount to its book value.⁷ Moreover, such companies find themselves in a position to deploy capital, like Berkshire Hathaway did, at the most attractive rates that have been witnessed in decades, oftentimes into investments valued at discounts to replacement value. Consider this proposition: if these companies were able to

⁶ In line with historical data.

⁷ Source: Company reports.

produce double-digit annualized returns during the past five and ten years, how likely is it that they can do no better during the next five and ten years? And however well they do on a book or net asset value basis in the future, we actually expect to do better than the companies themselves, since in many instances we may purchase their shares at a discount to book or net asset value.

During the course of the year, we have made these information-advantaged companies a much larger element of our portfolios, as the table below indicates. We will patiently and, we believe, pleasantly observe their long-term progress.

<u>Core Value Portfolio</u>	% of the portfolio	
	Dec. 31,	Sept. 30,
Company	2009	2010
Brookfield Asset Mgmt	5.2%	6.3%
Berkshire Hathaway	3.9%	4.8%
Forest City Enterprises	0.0%	2.4%
Greenlight Capital	0.0%	1.0%
Henderson Land	3.6%	4.3%
Jarden Corp.	0.0%	3.8%
Loews Corp.	0.0%	2.9%
Liberty Media	0.0%	3.2%
Leucadia National	2.0%	4.2%
Sears Holdings	0.0%	4.9%
	14.7%	37.8%

China: Progress in Every Respect but the Stock Market

Earlier this year, we wrote a few essays in which we suggested that China was not in a bubble, despite many statements to the contrary in the popular press. We continue to believe that China is not in a bubble and that our investments in China represent compelling long-term value. It is worthwhile to highlight that the majority of statistics presented below are gathered directly from Chinese sources. We strongly prefer observing and researching companies based on primary data sources rather than second hand analyses. In the specific case of China, we avoid western research and journalism and their ensuing western interpretation of Chinese economics. As a brief follow up to those essays, we offer additional China data points:

3rd Quarter Market Commentary

September 2010

- It is estimated that China now has approximately 900,000 millionaires and 130 billionaires (in dollar terms) and even that is using data from 2009, so the actual figures are likely even higher.⁸
- According to the Chinese National Bureau of Statistics (“NBS”), the improvement in Chinese retail sales year-to-date as of August 31st was 18.4% compared to the same period last year. In fact, over the past year, this measure has consistently exceeded 15% on a month-by-month basis.
- Urban consumption reached 6.3 trillion yuan in the first six months of 2010, an increase of 18.6% from a year earlier, while rural residents spent 1.0 trillion yuan, a gain of 15.6%, according to the NBS. Furthermore, the income of China’s urban and rural residents continues to increase. In the first six months of the year, per-capita disposable income for the urban population reached 9,757 yuan, up 10.2% year on year while per-capita cash income for rural residents stood at 3,078 yuan in the first half of the year, indicating growth of approximately 12.2% percent compared to the same period last year⁹.
- China is now the world’s No. 1 buyer of iron ore and copper and the second- biggest importer of crude oil.¹⁰ In addition, China is a world leader in alternative energy. Solar cell output in China tripled in the January-August period compared to the same period last year.¹¹
- Electricity consumption in China in August was up 14.7% year-over-year.¹² In fact, China has increased its electricity consumption by more than 10% per year over the past 13 years.¹³
- China’s auto sales in August 2010 rose 18.7% from a year earlier.¹⁴ China overtook the U.S. last year as the world’s largest automobile market and Germany as the world’s largest exporter.¹⁵

The Chinese economy has now returned to the growth rates exhibited before the financial crisis with 3 consecutive quarters of GDP growth above 10%. In fact, China surpassed Japan as the world’s second-largest economy in the second quarter of 2010, capping the nation’s three-decade rise from Communist isolation to emerging superpower.¹⁶

⁸ Source: The Hurun Rich List, 2009

⁹ Data from the NBS (National Bureau of Statistics)

¹⁰ Source: Economic Times

¹¹ Source: The Ministry of Industry and Information Technology

¹² Source: The National Energy Administration (NEA)

¹³ Source: The National Energy Administration (NEA)

¹⁴ Source: China Association of Automobile Manufacturers

¹⁵ Source: The China Association of Automobile Manufacturers

¹⁶ Japan’s nominal gross domestic product for the second quarter totaled \$1.288 trillion, compared to China’s \$1.337 trillion, according to the Japanese Cabinet Office.

3rd Quarter Market Commentary

September 2010

Despite its strong growth, China's per capita GDP is still below \$4,000 per year, which is less than 10% of the corresponding figures for Japan and the U.S. As China's standard of living continues to rise, its strong economic growth rates will likely continue to exceed those of the Western world for the foreseeable future. Capitalism, as we know it, is still only in its infancy in China. It is developing, over the course of one generation, the technology infrastructure, consumer economy and financial system that has taken the U.S. many generations to achieve.

All the aforementioned progress in China has had little impact on its stock market over the past few years. The following table outlines the performance of the Shanghai Composite, the Hang Seng Index and the FTSE Xinhua China 25 (an ETF, symbol FXI), which represents the 25 largest Chinese companies. These indices are generally flat year to date and have declined significantly in the past three years:

As of September 30, 2010	YTD	Since October 1, 2007
Hang Seng Index	2.2%	-17.6%
Shanghai Comp.	-19.0%	-52.2%
FTSE Xinhua China 25	2.5%	-24.5%

Consequently, the Chinese stock markets do not appear to reflect the advances being achieved and, as a result, our holdings in the region currently appear to be very attractively priced. For that reason we continue to have a significant exposure to China.

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